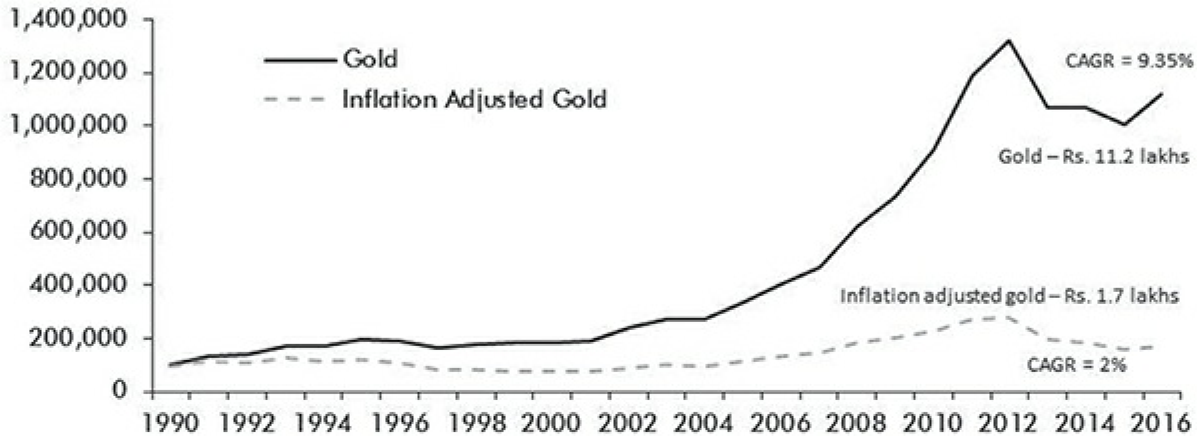
Exhibit 5: Gold has hardly delivered any returns adjusted for inflation (invested amount of Rs 1 lakh)



Source: Ambit Capital

The Coffee Can Manifesto

Most Indians do not invest in equity at all. Those who do, do so in a very haphazard manner. The result is that the long-term gains from what is a very powerful asset class have eluded the majority of affluent Indians.

Granted equity carries more volatility, but the rewards more than compensate for this. Also, volatility is sometimes overrated. For a saver looking to build up a corpus for the next twenty to thirty years, two to three-year spurts in volatility do not matter. The longer the time horizon for your investments, the higher should be your investment portfolio’s equity exposure. It, thus, sounds counterintuitive for investors when they are told, for example, that they should increase their equity exposure from 5 per cent to 75 per cent. Yet, over a span of twenty years while the volatility seems like an afterthought, the difference in returns becomes staggering. An investor holding Rs 5000 in equity and Rs 95,000 in debt (assuming 15 per cent and 7.5 per cent compounded annualized returns respectively) will end up with a corpus of Rs 4.85 lakh in twenty years. If, on the other hand, the equity